# Case Study: Notion

*How a “failed” startup survived by going to zero and rebuilding from conviction*

## The Chokepoint This Illustrates

**Resilience through near-death + the long game of product vision** Relevant for: Modules 9-11 (Product → Product Management → Founder Mental Health)

## The First Death (2013-2015)

Ivan Zhao started Notion in San Francisco in 2013 with a vision: build a tool where anyone can create their own software, no coding required. Inspired by pioneers like Alan Kay and Doug Engelbart, he wanted to build the “Lego set of software.”

By 2015, the company was dying: - The product was technically impressive but confusing to users - They’d burned through their seed funding - The team had shrunk from ~10 to just Ivan and his co-founder Simon Last - They couldn’t find product-market fit — users liked the idea but didn’t stick

**What went wrong:** They built from a vision (bottom-up software creation) instead of a use case (something people need on Tuesday). The product was a beautiful solution looking for a problem.

## The Kyoto Reset (2015-2016)

With almost no money left, Ivan and Simon made a radical decision: move to Kyoto, Japan, where the cost of living was low enough to survive on their remaining funds.

In Kyoto, they did three things:

**1. They rebuilt the product from scratch.** Not a refactor — a complete rewrite. They threw away 2 years of code. The new version started with concrete use cases

(notes, docs, project management) and built the flexible “block” system underneath, rather than starting with flexibility and hoping users would find use cases.

**2. They lived like monks.** Tiny apartment, minimal expenses, no distractions. Just building. This wasn’t romantic — it was desperate. They had maybe 12 months of runway.

**3. They talked to their remaining users obsessively.** The few hundred people still using Notion became their design partners. Every feature decision was tested against: “Would our 200 most engaged users use this this week?”

**What this teaches:** Sometimes the bravest decision is to throw everything away and start over. Not pivot — rebuild. This only works when you have deep conviction in the problem space (people need better tools for thought) even though your current solution is wrong.

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## The Rebuild That Worked (2016-2018)

The Notion 2.0 that came out of Kyoto was fundamentally different:

| Notion 1.0 (failed) | Notion 2.0 (worked) |
|---|---|
| “Build your own software” | “Your notes, docs, and projects — in one tool” |
| Started with flexibility | Started with familiar use cases |
| Targeted developers | Targeted knowledge workers |
| Complex, powerful, confusing | Simple to start, powerful to master |
| Marketing: “The future of software” | Marketing: “All-in-one workspace” |

The blocks system (the original vision) was still there — but it was hidden beneath a familiar interface. Users discovered the power gradually, as they needed it.

**Key decision:** They launched with templates. Instead of asking users to build from scratch (intimidating), they offered pre-built templates for common use cases (meeting notes, project tracker, wiki). This reduced the time-to-value from hours to seconds.

**What this teaches:** 1. Users don't want power. They want their problem solved. Give them the solution first, the power tool second. 2. Templates are underrated. They lower the barrier to entry without limiting the ceiling.

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## The Growth That Followed (2018-2021)

Notion grew almost entirely through word-of-mouth and community:

- No sales team until well past $10M ARR
- Growth driven by users sharing templates and use cases
- The Notion community on Reddit, Twitter, and YouTube became a self-sustaining marketing engine
- Companies adopted Notion bottom-up: one team member would start using it, then it would spread

By 2021, Notion was valued at $10B.

**What this teaches about growth:** If people genuinely love your product, they become your marketing. Notion never ran ads in the early days. They invested everything in making the product so good that users couldn't stop talking about it. PG calls this "making something people want." When you get it right, growth takes care of itself.

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## The Founder Mental Health Dimension

Ivan has spoken publicly about the psychological toll of the near-death period:

- The guilt of letting team members go
- The isolation of rebuilding with just one co-founder in a foreign country
- The uncertainty of whether the rebuild would work
- The temptation to give up and get a "real job"

What kept him going wasn't optimism — it was conviction in the problem space. He believed the world needed better tools for thought, even when his specific solution wasn't working.

**What this teaches about resilience:** Motivation based on “this will be a billion-dollar company” evaporates when things get hard. Motivation based on “this problem deserves a better solution and I’m the right person to find it” survives near-death experiences. Choose problems you’d work on even if the startup fails.

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## What Students Should Take Away

1. **Product-market fit is not linear.** Notion went from “growing” to “dying” to “dead” to “reborn” to “$10B.” The founders who succeed are often the ones who survived a death that would have killed most teams.
2. **Rebuild > Pivot (sometimes).** Pivoting means changing direction. Rebuilding means keeping the vision but completely rethinking the execution. Notion didn’t pivot — they always wanted to build tools for thought. They just rebuilt HOW.
3. **Concrete use cases first, platform vision second.** Notion succeeded when they stopped selling “build anything” and started selling “organize your notes.” The platform emerged from the use case, not the other way around.
4. **Your first 200 users are your most valuable asset.** They stuck with a broken product because they believed in the vision. Design for them first.
5. **Cost structure is a strategic decision.** Moving to Kyoto wasn’t giving up — it was buying time. If your burn rate is killing you, cut costs radically before you try to raise money. Being Default Alive on €500/month is better than being Default Dead on €5,000/month.

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## The Uncomfortable Question for Students

> *“If your startup fails — if nobody uses it, nobody pays, and you have to start over — would you still want to work on this problem?”*

If yes, you might be building something real. If no, you might be chasing an idea instead of a conviction.